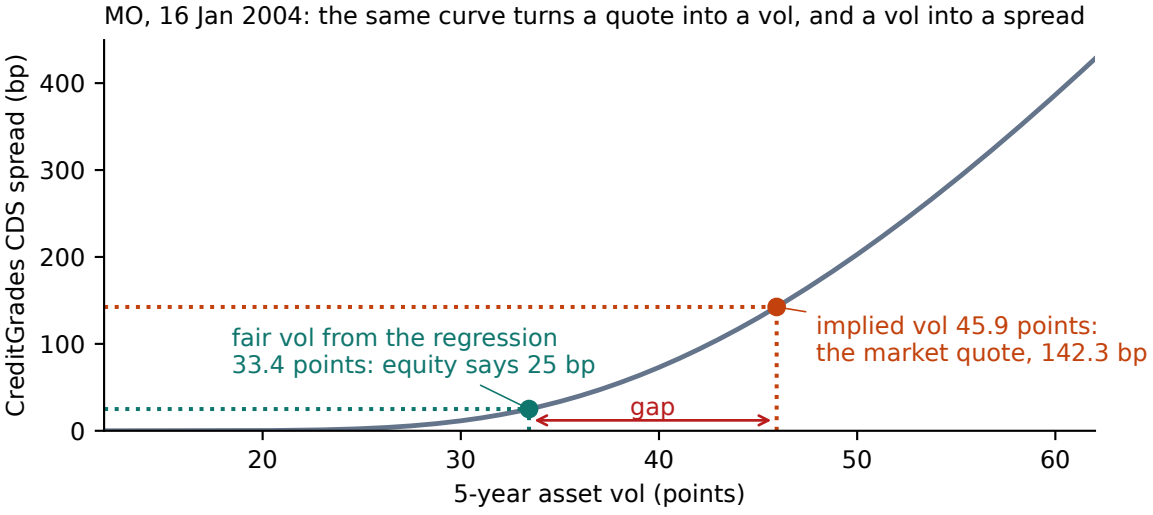
MO, 16 Jan 2004: the same curve turns a quote into a vol, and a vol into a spread
CreditGrades CDS spread (bp)
0
100
200
300
400
20
30
40
50
60
5-year asset vol (points)
fair vol from the regression
33.4 points: equity says 25 bp
gap
implied vol 45.9 points:
the market quote, 142.3 bp